

**Time:** 5 minutes**Outcome:** Analyze dollar demand, dollar supply, and exchange-rate movements.**Difficulty:** ●●○ Intermediate

Foreign-Exchange Market Equilibrium

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THE CORE IDEA

The foreign-exchange market determines the exchange rate and quantity of dollars exchanged. The course graphs place foreign currency per U.S. dollar vertically, so a higher value is dollar appreciation. Demand for dollars slopes downward; the core graph family uses upward-sloping supply. Foreign demand for U.S. goods or assets can raise dollar demand, while stronger U.S. demand for foreign goods or assets can raise dollar supply.

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HOW TO RECOGNIZE IT

- Demand right raises the exchange rate and quantity: dollar appreciation.
- Supply right lowers the exchange rate and raises quantity: dollar depreciation.
- Simultaneous shifts can make one equilibrium outcome indeterminate.
- Read the axis convention before translating up/down into appreciation/depreciation.

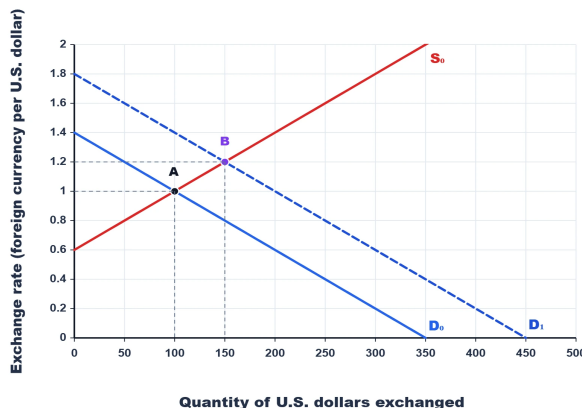
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WATCH OUT

Do not use an inverse quotation. On these graphs, moving upward means more foreign currency per dollar and therefore appreciation of the U.S. dollar.

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WORKED EXAMPLE: A RIGHTWARD DEMAND SHIFT



Dollar demand shifts from D_0 to D_1 while S_0 remains fixed. Equilibrium moves from A to B: quantity rises from 100 to 150 and the exchange rate rises from 1.0 to 1.2 foreign units per dollar. The higher quote means the U.S. dollar appreciates.

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CHECK YOURSELF

Dollar supply shifts right while demand stays fixed. What happens to the dollar and to quantity exchanged?

**READY?**

Return to the game and master this concept.